

THE SESSION • POST-CLOSE READ

Priced for *Perfection*

The S&P 500 snapped a three-day slide as yields eased off multi-year highs and materials led a broad advance. Both sleeves finished green — while Credo grew revenue 115% and was repriced 20% lower, a session-length lesson in what expectations cost.

S&P 500 ▲ 0.47%

NASDAQ ▲ 0.44%

DOW ▲ 0.56%

VIX 15.3

BRENT ▲ \$95

DIVIDEND STRATEGY

▼ TRAILED DVY • EDGED SPY

+0.49%

1-DAY

FCI		+0.49%
DVY		+0.72%
SPY		+0.45%

YTD +21.78% vs DVY +18.01% • SPY +12.81%

GROWTH PORTFOLIO

▼ TRAILED IUSG

+0.27%

1-DAY

FCI		+0.27%
IUSG		+0.50%

YTD +20.69% vs IUSG +13.20%

THE SESSION

Wednesday gave the tape back its footing. The S&P 500 added 0.47% to close a three-session slide, the Dow rose 0.56%, and the Nasdaq gained 0.44%, with nine of eleven sectors advancing and materials out front. The proximate cause was relief in the bond market: the 10-year Treasury yield touched 4.82% intraday — territory last visited in late 2023 — before settling roughly flat, and volatility followed it down, the VIX easing 6.3% to 15.3. Brent held near \$95, its firmest level in roughly six weeks, as fresh U.S. strikes on Iranian mine-laying positions around the Strait of Hormuz kept the physical-supply variable in the price without extending it. The morning's data leaned soft — ADP counted 38,000 private payrolls added in August, below forecast and the slowest month since January — and the Fed's Beige Book described an economy growing modestly, two readings that sit quietly against the September 15–16 FOMC and Friday's employment report.

Against that backdrop the Dividend Strategy added 0.49%, edging SPY's 0.45% while trailing DVY's 0.72%, with Steel Dynamics (+5.79%), Constellation Energy (+3.47%) and Nutrien (+3.39%) supplying the leadership. The Growth Portfolio finished up 0.27% against IUSG's 0.50% — a respectable absolute session carrying one heavy passenger. Credo, our custom-silicon connectivity holding, reported a fiscal first quarter Tuesday evening that beat on revenue and earnings, grew 115% year over year, and generated \$83 million of free cash flow — and the stock closed 20.04% lower. The market's objection was not the business; it was the margin line, where gross margin stepped down from 68.2% to 64.5% as optical products scale, and the guide implies another step. NVIDIA (+3.20%), Vistra (+3.90%), SoFi (+4.63%) and Robinhood (+3.36%) absorbed most of that weight before the benchmark comparison did the rest.

A business can grow one hundred fifteen percent and still disappoint a share price that assumed more. The quote moves in an afternoon. The enterprise compounds for years.

One roster note for the record: effective today the Growth Portfolio exchanged its Edison International position for Pagaya Technologies (PGY), which contributed +5.06% in its first session in the sleeve. Attention now turns to Broadcom's fiscal third-quarter report after Wednesday's close — the next read on custom-silicon demand that names like Credo, Marvell and NVIDIA trade against — and to Friday's

August employment report. The year-to-date standing remains the durable story: the Dividend Strategy holds +21.78%, a spread of +3.77 pts over DVY, its lead benchmark, and the Growth Portfolio holds +20.69%, +7.49 pts ahead of IUSG. Days like Wednesday reprice expectations. They do not reprice what we own.

FCI HOLDINGS • NOTABLE MOVERS

WINNERS

STLD +5.79%

DIVIDEND

Led the day's materials advance — the tape's strongest sector — as domestic steel pricing power held with the 50% tariff regime on Canadian steel intact.

PGY +5.06%

GROWTH

First session in the Growth Portfolio. Advanced with the credit-sensitive fintech group as yields eased off their highs and financials led.

SOFI +4.63%

GROWTH

Rebounded with banks and credit-sensitive lenders as the three-session climb in yields paused.

DECLINERS

CRDO -20.04%

GROWTH

Beat fiscal Q1 on both lines — revenue \$479M, up 115% year over year — but gross margin stepped down to 64.5% from 68.2% and the Q2 guide implies more; the market repriced a stock that had been valued for uninterrupted margin expansion.

FTNT -4.52%

GROWTH

Sympathy move as Palo Alto fell roughly 9% post-earnings on margin scrutiny; the cybersecurity group broadly repriced after a hot run.

HUT +4.01%

GROWTH

Recovered prior-week compression as the broad risk bid extended to the digital-infrastructure complex.

VST +3.90%

GROWTH

Advanced with the AI-power complex; CEG (Dividend, +3.47%) moved in step as independent power producers rebounded from Monday's utility-sector pressure.

NOW -4.28%

GROWTH

Continued compression across richly valued enterprise software with long-duration multiples still contending with elevated yields.

TEL -2.78%

DIVIDEND

Eased without a company-specific headline as capital rotated toward the session's cyclical leadership.

LMT -2.43%

DIVIDEND

Gave back part of the conflict premium — GD (Dividend, -1.45%) alongside — as the tape leaned toward de-escalation and volatility fell.

HOLDINGS NEWS

Credo Technology (CRDO, Growth): a beat, repriced. Fiscal Q1 revenue of \$479 million topped the roughly \$472 million consensus, adjusted EPS of \$1.20 beat the \$1.17 estimate, and revenue rose 115% year over year — a seventh consecutive quarter of triple-digit growth, with \$764 million of cash on the balance sheet. The stock fell 20.04% anyway: GAAP gross margin declined to 64.5% from 68.2% as optical revenue scales, Q2 guidance (\$525–\$535 million) implies the mix pressure persists near term, and the sell side adjusted — J.P. Morgan to \$310 from \$335, Bank of America to \$275 from \$340, Stifel holding at \$350. Management's full-year frame is unchanged: revenue growth above 85%, with ZeroFlap optics, silicon-photonics PICs and optical

DSPs each targeted to clear \$100 million this fiscal year. The question the next report must answer is whether the margin step-down is a mix transition or a new structure.

NVIDIA (NVDA, Growth): reported \$14 billion approach for Hugging Face. Bloomberg reported Wednesday that NVIDIA is in advanced talks to acquire Hugging Face, the open-source AI model hub, in a transaction totaling roughly \$14 billion — a \$12.9 billion agreement that could be reached this week plus a reported \$1 billion employee-retention package. No final agreement has been signed and terms could change. Strategically, the deal would put the most widely used open-source model platform inside the company whose hardware runs most of it. Shares added 3.20% on the session.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+21.78%

vs DVY +18.01% / SPY +12.81%

Spread vs DVY (lead benchmark) +3.77 pts

GROWTH PORTFOLIO

+20.69%

vs IUSG +13.20%

Spread vs IUSG (lead benchmark) +7.49 pts